



4Q19

Earnings Release



fibra**mty**

Redefines real estate
Profitability in Mexico



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Investment Model **fibr**amty



FIBRA MTY ANNOUNCES RESULTS FOR THE FOURTH QUARTER 2019

Monterrey, Nuevo Leon, Mexico – February 19, 2020 – Banco Invex, S.A., Institución de Banca Múltiple, Invex Grupo Financiero, Fiduciario, as Trustee of the Trust identified by the number F/2157, (BMV: FMTY14), (“Fibra Mty” or “the Company”), the first real estate investment trust 100% internally managed, announced today its results for the fourth quarter ("4Q19"). The figures presented in this report have been prepared in accordance with International Financial Reporting Standards (IFRS) and are expressed in millions of Mexican pesos (Ps.), unless otherwise stated, and may vary due to rounding.

Fourth Quarter 2018 Highlights

- Fibra Mty successfully completed the second placement of CBFIs under its ATM program, issuing 324,810,047 CBFIs at a price of Ps. 12.00 per CBFI, equivalent to Ps. 3,898 million. Approximately 20% of the proceeds were used to acquire the Garibaldi portfolio, during 4Q19. Fibra Mty is in the process of acquiring La Perla project, which the Company expects to close between March and April 2020, planning to deploy the remaining portion proceeds (80%) of the resources raised from its follow-on.
- As of the end of 4Q19, Fibra Mty's consolidated portfolio was comprised of 58 properties, including 18 for office use, 34 for industrial use and 6 for retail use. As mentioned in previous reports, in line with our strategic approach of maintaining our properties at its best and highest use, we have started the reconversion process of Cuprum. Therefore, as of July 1, 2019, the tenant of this property was relocated to Zinc. In consequence, from 3Q19, operating metrics exclude Cuprum and include Zinc.
- As of quarter-end, Fibra Mty's Gross Leasable Area ("GLA") totaled 699,928 m². The occupancy rate as of December 31, 2019, stood at 96.6% in GLA terms.
- In 4Q19, average rent per square meter was US\$18.8 for corporate offices, US\$14.1 for operating offices, US\$4.6 for industrial buildings and US\$7.7 for retail properties.
- 4Q19 total revenue was Ps. 316.1 million, up 24.1% when compared to that of 4Q18.
- 4Q19 net operating income ("NOI") amounted to Ps. 285.1 million, 26.6% higher than that of 4Q18.
- 4Q19 EBITDA reached Ps. 259.3 million, a 29.1% increase when compared to 4Q18.
- 4Q19 NOI and EBITDA margins attained 90.2% and 82.0%, respectively, 180 and 310 basis points above the figures recorded in 4Q18.
- 4Q19 funds from operations ("FFO") was Ps. 243.4 million, up 39.1% versus 4Q18, while adjusted funds from operations ("AFFO") totaled Ps. 228.6 million, 37.1% higher than 4Q18.
- As a result of its 4Q19 operating performance, Fibra Mty will distribute Ps. 227.1 million to its CBFI holders, of which Ps. 60.5 million belong to the provision of October distribution that were paid in advance, to avoid dilution effects that would have been generated by our second placement of CBFIs, mentioned lines above, which was conducted at the end of October. As informed in our previous quarterly releases, the difference of Ps. 1.5 million versus 3Q19 AFFO and AFFO effectively distributed in the same period, based on estimates, will be deducted from the 4Q19 distribution.
- On February 12th, the Company's Technical Committee approved a cash distribution Guidance in a range between Ps. 1.0600 – Ps. 1.0800 and Ps. 1.0801 – Ps. 1.1000 per CBFI, using a USD/MXN exchange rate between Ps. 19.00 – Ps. 19.49 and Ps. 19.50 – Ps. 20.00, respectively. These estimates already consider the acquisitions related to the obtained proceeds from the second placement of CBFIs under the ATM program, mentioned lines above.

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Operating Highlights:

	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Number of Properties	57	54	5.6%⁽¹⁾	54	5.6%
Office	18	18	-	18	-
Industrial	33	30	10.0% ⁽¹⁾	30	10.0%
Retail	6	6	-	6	-
Gross Leasable Area (GLA) m²	699,928	661,084	5.9%⁽¹⁾	663,537	5.5%
Occupancy Rate (GLA)	96.6%	97.0%	(0.4 p.p.)⁽³⁾	97.2%	(0.6 p.p.)⁽³⁾
Average Rent / m² Corporate Offices (US\$)	\$18.8	\$18.4	2.2%⁽²⁾	\$18.7	0.5%
Average Rent / m² Back Offices (US\$)	\$14.1	\$13.7	2.9%⁽²⁾	\$13.9	1.4%
Average Rent / m² Industrial (US\$)	\$4.6	\$4.5	2.2%⁽²⁾	\$4.5	2.2%
Average Rent / m² Retail (US\$)	\$7.7	\$7.1	8.5%⁽²⁾	\$7.2	6.9%

(1) Explained by the acquisition of Garibaldi portfolio, comprised of 3 industrial properties, with 35,729 m² of GLA.

(2) Derived from the rent increases linked to inflation and appreciation of the Mexican peso against the US Dollar.

(3) Decrease mainly due to certain vacancies (5,293.42 m²) in the Huasteco Nippon property.

Summary of Acquisitions:

<i>Thousands of Mexican Pesos (except GLA and lease term)</i>	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Number of New Properties	4⁽³⁾	11	(63.6%)	-	-
Acquisition Price	586,051⁽⁴⁾	2,995,640⁽¹⁾	(80.4%)	-	-
Annualized NOI ⁽⁶⁾	51,415	247,950	(79.3%)	-	-
Gross Leasable Area in m² ⁽⁵⁾	41,128	156,550	(73.7%)	-	-
Cap Rate in Cash⁽²⁾	8.7%	8.3%	0.4 p.p	-	-
Weighted Average Lease in NOI Terms (Years) at the Acquisition Date	4.7	9.5	(50.5%)	-	-

(1) Total investment for the Patria and Filios acquisitions. The first one involved a settlement for 76% of the building's total GLA, corresponding to rental income-generating spaces with current leasing contracts; and the second, amounted to US\$ 135 million, using the exchange rate at the acquisition date (Ps. 20.3337).

(2) The cap rate in cash is calculated by dividing NOI, corresponding to the twelve-month period after the acquisition date, by the acquisition price of the property.

(3) Comprised by 3 industrial properties from the Garibadi portfolio, along with the expansion of the Fagor industrial building, currently under construction.

(4) Acquisition price includes Ps. 33.0 million corresponding to the total investment for the expansion of the Fagor industrial building.

(5) Gross Lease Area includes 5,400 m² from the expansion of Fagor, currently under development

(6) Annualized NOI includes Ps. 3.9 million of incremental leases for twelve months, counted from the tenant's initial payment.

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Financial Position:

	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Cash and Cash Equivalents	3,743,548	609,031	514.7% ⁽¹⁾	718,848	420.8% ⁽¹⁾
Investment Properties	13,734,998	13,247,281	3.7% ⁽²⁾	13,532,970	1.5%
Total Assets	17,696,683	14,361,695	23.2%	14,397,144	22.9%
Debt	4,926,636	5,222,671	(5.7%) ⁽³⁾	5,178,679	(4.9%)
Total Liabilities	5,299,900	5,499,334	(3.6%)	5,843,921	(9.3%)
Total Equity	12,396,783	8,862,361	39.9% ⁽⁴⁾	8,553,223	44.9% ⁽⁴⁾

- (1) Mainly due to the proceeds obtained from the second follow-on offering of CBFIs under the ATM program conducted in October 2019, and to cash generated by rents; net of disbursements on investment properties, cash distributions and debt service costs, among other minor items.
- (2) Explained by the acquisition of the Garibaldi portfolio, the Huasteco Fagor expansion, the construction of the Zinc property, the beginning of the reconversion of the Cuprum building to its best and highest use, payment of tax on acquisition of real estate (*Impuesto sobre Adquisición de Inmuebles – “ISAI”*), commissions and adjustments related to the acquisition of the Patria property, as well as improvements and adjustments to the same-property portfolio. The foregoing was offset by the recognition of fair value effects, in accordance with IAS 40 – Investment Property.
- (3) Decrease mainly attributed to principal amortizations and FX gains due to lower mark-to-market valuation of Fibra Mty's dollar-denominated debt, as USD/MXN exchange rate went from Ps.19.6566 in 4Q18 to Ps.18.8727 in 4Q19.
- (4) Increase mainly derived from the proceeds raised at the second follow-on offering under the ATM program, performed at the end of October 2019, as well as 2019 consolidated net income, which were offset, to a lesser extent, by the distributions to CBFIs holders.

Financial Highlights in thousands of Mexican pesos:

	4Q19	4Q18	Δ%/p.p. ⁽¹⁾	3Q19	Δ%/p.p.
Total revenue	316,090	254,704	24.1%	302,454	4.5%
NOI	285,118	225,256	26.6%	271,739	4.9%
EBITDA	259,298	200,862	29.1%	245,422	5.7%
FFO	243,408	174,996	39.1%	195,882	24.3%
AFFO	228,650	166,814	37.1%	185,382	23.3%

- (1) A detailed explanation of these changes is provided in the Financial Performance section.

Financial Highlights per CBFI:

	4Q19	4Q18	Δ%/p.p. ⁽¹⁾	3Q19	Δ%/p.p.
NOI	0.345	0.354	(2.5%)	0.426	(19.0%)
EBITDA	0.314	0.316	(0.6%)	0.384	(18.2%)
FFO	0.287	0.275	4.4%	0.307	(6.5%)
AFFO	0.270	0.262	3.1%	0.290	(6.9%)
Outstanding CBFIs (thousands) ⁽²⁾	964,158.288	636,167.915	51.6%	638,434.184	51.0%

- (1) A detailed explanation of these changes is provided in the Financial Performance section.
- (2) CBFIs outstanding as of the distribution date.

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Margins:

	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Total revenue	316,090	254,704	24.1%	302,454	4.5%
NOI	90.2%	88.4%	1.8p.p.	89.8%	0.4 p.p.
EBITDA	82.0%	78.9%	3.1p.p.	81.1%	0.9 p.p.
FFO	77.0%	68.7%	8.3p.p. ⁽¹⁾	64.8%	12.2 p.p. ⁽¹⁾
AFFO	72.3%	65.5%	6.8p.p. ⁽¹⁾	61.3%	11.0 p.p. ⁽¹⁾

- (1) Growth explained by a higher financial income resulting from the investment of the cash surplus obtained through the second follow-on offering of CBFIs under the ATM program performed at the end of October 2019.

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Comments from the Chief Executive Officer

“Change before you have to”

Jack Welch

Dear investors, we have finished our fifth year of operations, feeling proud that, despite a rough start, 2019 became one of our best years. On one hand, as of October, we carried out a certificate placement for Ps. 3,900 million, the most important in our history and the only one performed at Mexbol over the last 22 months. It is relevant to note that, for the first time, we had a significant participation from retail investors, which amounted to over 1,600 people. We are tremendously excited to see that Fibra MTY is a widely accepted investment alternative, given our reliability of its business model and capability to fulfill its goals, while delivering profit.

Regarding the use of the offering net proceeds, and as mentioned in the Road Show, during November, we started the acquisition process of new investment properties, with the “Garibaldi” portfolio; expecting to fully allocate these resources during the first half of the year.

On the other hand, for the fifth consecutive year we accomplished our Guidance target for cash distribution. Which we surpassed by 4.5% per CBFI; bringing the 2019 cash distribution yield to 9.4% (using the CBFI’s closing price at the beginning of the year). Putting that into broader perspective, the growth recorded respect our first year’s distribution in 2015 amounted to 36.8%. We believe that both distribution levels and expansion of the investor base will help us to improve the liquidity of our securities; leading to a reduction of Fibra Mty’s capital cost.

This year we started to develop two fronts that I consider strategic for Fibra MTY in the long term: digital innovation and deployment of Environmental, Social and Governance factors (ESG) practices. On digital innovation, we have witnessed how the Prop-Tech (Property Technology) has evolved exponentially in developed countries, spurring outstanding experiences for users and tenants, as well as simplifying and streamlining the lessee’s work. I am convinced that with the help of technology we will learn more on our clients' needs and forge long-term business relationships.

Regarding ESG factors, sustainability has been elevated as an issue on the global agenda. We are convinced that companies that failing to attend ESG factors might jeopardize their long-term performance and business continuity. Companies must not only focus on their financial results but must also be committed towards making a positive impact on society. For this reason, in October, we hired Social Value Institute to perform a diagnosis of our current situation and develop a joint work plan to move towards sustainability in a strategic manner. Soon we will be presenting, as an integral part of our quarterly reports, the progress of the work plan, since this is a process of uninterrupted and strict compliance.

As always, I am grateful for your unwavering trust and support, which, in this 2020, will continue to motivate us to keep moving forward in the redefinition of real estate profitability in Mexico.



Jorge Avalos Carpinteyro, CEO

Operating Performance

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Property Portfolio and Geographic Locations

Fibra Mty's portfolio is comprised of 58 properties located in 9 states of Mexico, with an average age of 13.5 years and occupancy rate of 96.6%, in GLA terms. It is relevant to note that, in line with our strategic approach of maintaining our properties at its best and highest use, we have started the reconversion process of the Cuprum property. Therefore, as of July 1st, 2019, the tenant of such property was relocated to the Zinc building. In consequence, 4Q19 operating metrics exclude the Cuprum building and include the Zinc property.

Total Revenue expressed in thousands of Mexican pesos.

	Real Estate Asset	Location	GLA (m ²)	4Q19 Total Revenue	4Q18 Total Revenue	Δ% 4Q19 vs 4Q18	3Q19 Total Revenue	Δ% 4Q19 vs 3Q19
1-3	OEP Portfolio ⁽¹⁾	Nuevo Leon	45,633 ⁽⁵⁾	57,117	51,514	10.9%	51,283	11.4%
4-6	CEN 333 Portfolio ⁽²⁾	Nuevo Leon	36,752	28,360	27,839	1.9%	28,161	0.7%
7	Danfoss	Nuevo Leon	30,580	7,781	7,921	(1.8%)	7,787	(0.1%)
8	Cuadrante	Chihuahua	4,520	3,688	3,609	2.2%	3,480	6.0%
9	Cuprum	Nuevo Leon	⁽⁶⁾	-	3,581	(100%)	-	-
10-14	Casona Portfolio	Múltiple ⁽³⁾	38,684	8,414	7,966	5.6%	8,123	3.6%
15	Catacha	Nuevo Leon	5,431	1,222	1,156	5.7%	1,202	1.7%
16-19	Monza Portfolio	Chihuahua	13,679	5,772	5,654	2.1%	5,483	5.3%
20	Santiago	Queretaro	16,497	4,653	4,618	0.8%	4,697	(0.9%)
21	Monza 2	Chihuahua	4,611	1,941	1,853	4.8%	1,941	-
22	Prometeo	Nuevo Leon	8,135	12,982	12,811	1.3%	13,482	(3.7%)
23	Nico 1	Nuevo Leon	43,272	12,301	12,286	0.1%	12,200	0.8%
24-31	Providencia Portfolio	Coahuila	82,622	22,798	22,276	2.3%	21,736	4.9%
32	Fortaleza	ZMVM ⁽⁴⁾	15,137	13,333	13,613	(2.1%)	13,325	0.1%
33	Cienega	Nuevo Leon	25,223	5,670	5,455	3.9%	5,670	-
34	Redwood	Jalisco	11,605	19,098	18,613	2.6%	18,720	2.0%
35	Catacha 2	Queretaro	5,400	1,531	1,485	3.1%	1,438	6.5%
36-42	Huasteco	San Luis Potosi	89,951	27,460	28,537	(3.8%)	28,196	(2.6%)
43	Cauhtemoc	Nuevo Leon	10,294	9,046	8,873	2.0%	8,597	5.2%
44	Zinc	Nuevo Leon	19,623	4,060	-	-	4,079	(0.5%)
45	Patria	Jalisco	7,970	9,441	6,477	45.8%	8,425	12.1%
46-55	Filios Portfolio	Nuevo Leon	148,580	55,038	8,567	542.4%	54,429	1.1%
56-58	Garibaldi Portfolio	Nuevo León	35,729	4,384	-	-	-	-
Total / Average			699,928	316,090	254,704	24.1%	302,454	4.5%

⁽¹⁾ Includes the OEP Torre 1, OEP Torre 2, and OEP Plaza Central assets

⁽²⁾ Includes the Neoris/GE, Axtel and Atento assets

⁽³⁾ Properties located in Chihuahua, Sinaloa and Guanajuato.

⁽⁴⁾ Mexico City Metropolitan Area (Greater Mexico City).

⁽⁵⁾ 662 m² GLA upgrade in Plaza Central derived from BOMA's (Building Owners and Managers Association) studio

⁽⁶⁾ Excludes 17,261 m² of GLA due to the beginning of the conversion of the Cuprum building, to achieve its best and highest use

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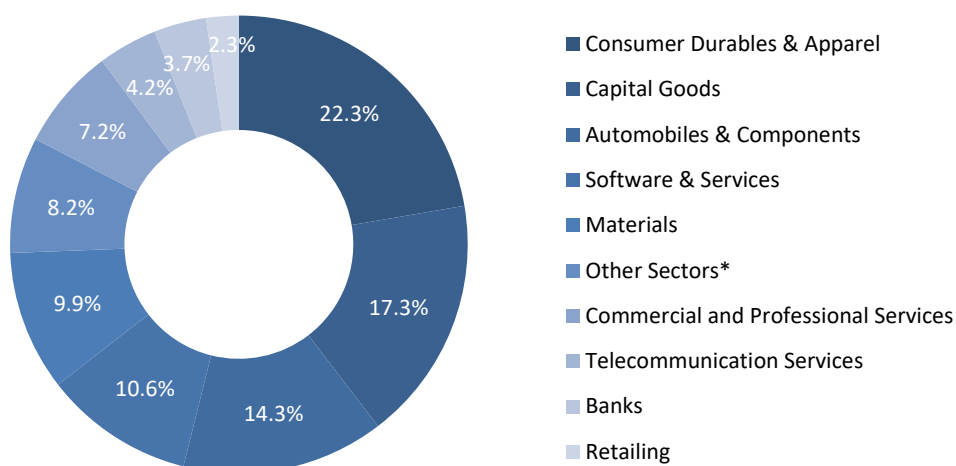
Tenant Breakdown by Economic Sector

As of the first quarter of 2019, Fibra Mty adopted the Global Industry Classification Standard (GICS) to categorize its tenants.

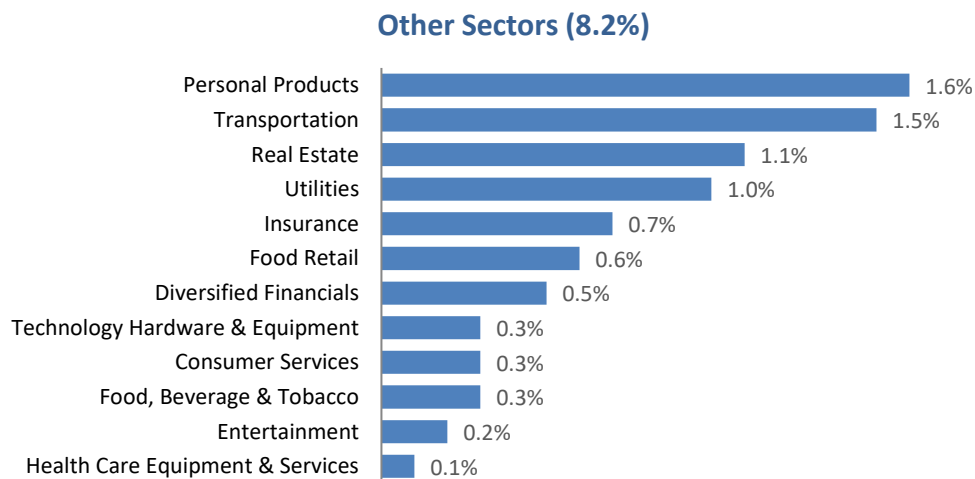
The GICS is a standardized classification system, introduced in 1999 by S&P and MSCI, used to sort business entities by sector and industry groups.

GICS was developed in response to the global financial community's need for a comprehensive and consistent framework of sector and industry definitions, thereby enabling to perform company, sector and industry comparisons across countries, regions and globally.

Tenant Breakdown by Economic Sector (% of Revenue)

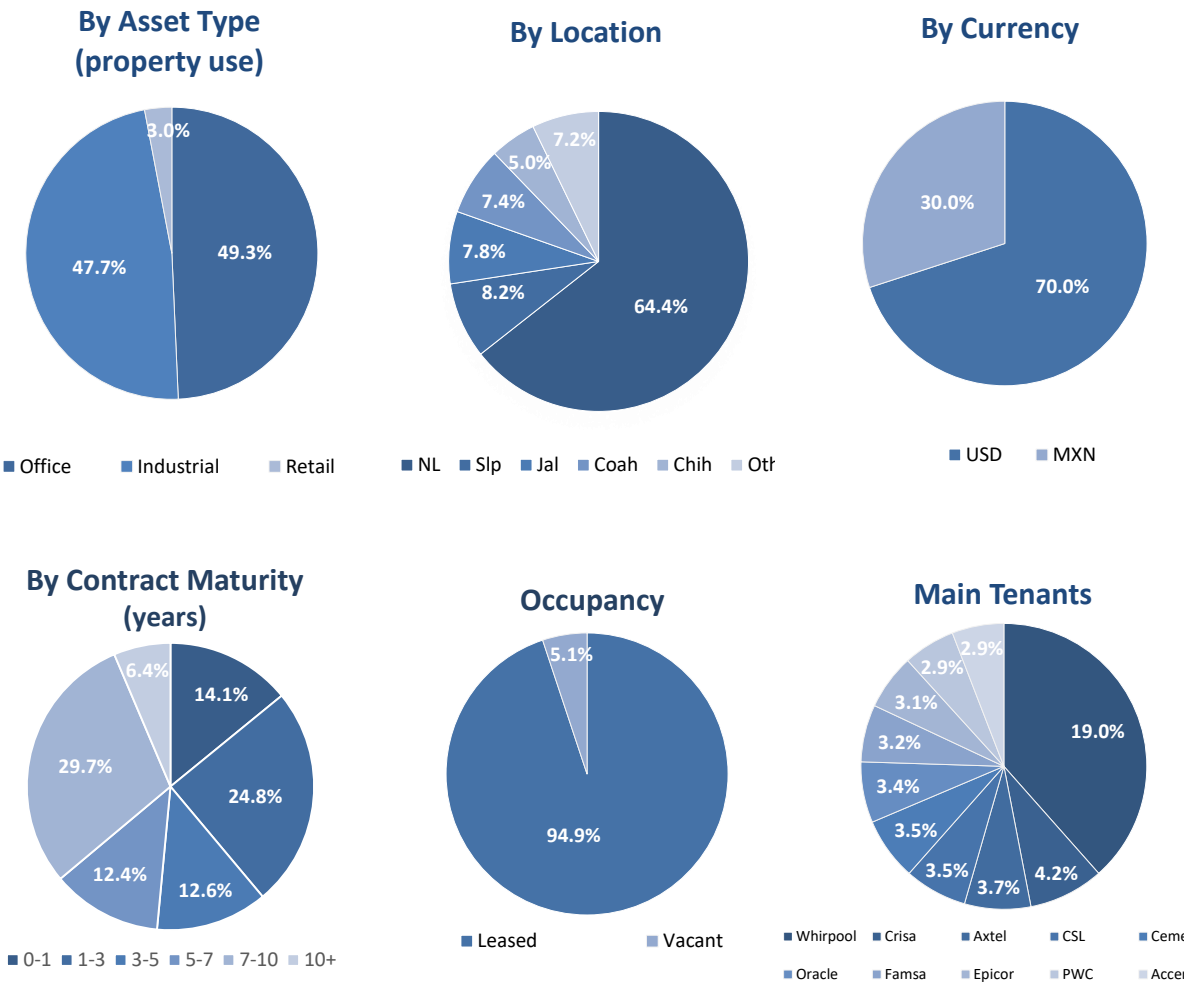


****"Other Sectors" breakdown is shown in the following graph:***



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Key Indicators of Fibra Mty's Portfolio Performance (% of Revenue)



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Gross Leasable Area and Occupancy by asset type, in GLA terms

<i>Office</i>	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Number of properties	18	18	-	18	-
GLA in m ²	163,782	163,028	0.5% ⁽¹⁾	163,119	0.4%
Weighted average remaining lease term to Income (in years)	4.8	5.3	(9.4%)	4.6	4.3%
Occupancy	89.2%	87.8%	1.4 p.p.	88.7%	0.5 p.p.

⁽¹⁾ GLA restatement of 662 m² in Plaza Central derived from BOMA's (Building Owners and Managers Association) study and the conversion of common area into 91 m² of GLA.

<i>Industrial</i>	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Number of properties	33	30	10.0%	30	10.0%
GLA in m ²	516,796	478,706	8.0%	481,068	7.4%
Weighted average remaining lease term to Income (in years)	5.4	5.9	(8.5%)	5.5	(1.8%)
Occupancy	98.9%	100.0%	(1.1 p.p.)	100.0%	(1.1 p.p.)

<i>Retail</i>	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Number of properties	6	6	-	6	-
GLA in m ²	19,350	19,350	-	19,350	-
Weighted average remaining lease term to Income (in years)	9.9	10.8	(8.3%)	10.2	(2.9%)
Occupancy	100.0%	99.9%	0.1 p.p.	99.9%	0.1 p.p.

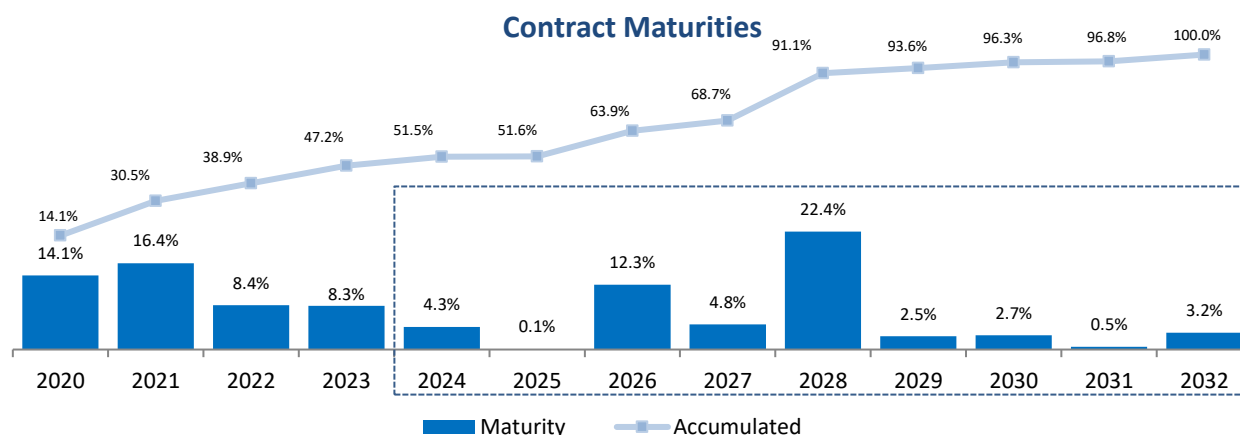
<i>Fibra Mty Portfolio</i>	4Q19	4Q18	Δ%/p.p.	3Q19	Δ%/p.p.
Number of properties	57	54	5.6%	54	5.6%
GLA in m ²	699,928	661,084	5.9%	663,537	5.5%
Weighted average remaining lease term to Income (in years)	5.3	5.7	(7.0%)	5.2	1.9%
Occupancy	96.6%	97.0%	(0.4 p.p.)	97.2%	(0.6 p.p.)

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Contract Maturities

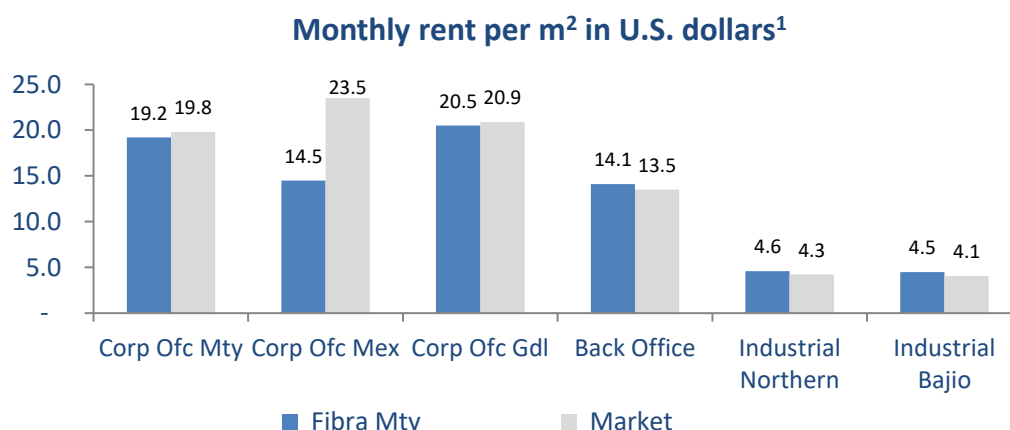
As of December 31st, 2019, Fibra Mty has 123¹ tenants, 61.0% in office properties (including OEP's retail area as it is focused on servicing the office space); 25.2% in industrial properties; and, 13.8% in retail properties.

As of December 31st, 2019, the weighted average lease term was 5.3 years. If current contracts are not renewed and no new leases are engaged, there would be a guaranteed rent flow of approximately 52.8% through the beginning of 2024.



Rent in US dollars per m² and by property type

Fibra Mty keeps Corporate Offices rents in Mexico, Monterrey and Guadalajara below market levels, representing a competitive advantage when renewing and/or negotiating new contracts, especially against the current backdrop.



¹ Market price considers monthly prices per m² in USD.

Corporate Offices Monterrey = Source: CBRE MarketView Monterrey 4Q 2019

Corporate Offices Mexico = Source: CBRE MarketView Mexico, Interlomas submarket 4Q 2019

Corporate Offices Guadalajara = Source: CBRE MarketView Guadalajara 4Q 2019

Back Offices = Research by Fibra MtyIndustrial = Source: CBRE Market View, Industrial, 4Q 2019

¹ Tenants occupying multiple spaces in one or more properties are counted only once.

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Same-Property Performance:

Same-property analysis excludes the Garibaldi and Filios portfolio, as well as the Patria, Zinc and Cuprum properties, the latter due to the beginning of its conversion process to achieve its best and highest use.

NOI

(thousands of Mexican pesos)	4Q19	4Q18	Δ%/p.p.
Number of properties	42	42	-
Same-property revenue	243,168	236,080	3.0%
Same-property operating expenses, net of CAPEX in results	28,577	28,514	0.2%
Same-property NOI	214,591	207,566	3.4%
Same-property NOI margin	88.2%	87.9%	0.3 p.p.

4Q19 Same-property NOI increased 3.4% when compared to 4Q18, mainly due to a non-recurring income stemmed from the early termination of certain contract at our OEP portfolio, as well as to rent increases due to inflation adjustments at certain properties as per contracts denominated in Mexican pesos and U.S. dollars; the latter was offset to a lesser extent by an adverse FX effect and certain minor vacancies. Operating expenses were almost flat, increasing only 0.2%.

4Q19 Same-property NOI margin was 88.2%, 30 basis points higher than that reported in 4Q18.

Occupancy

Same-property	
Number of properties	42
GLA m ² (1)	488,026

(1) GLA restatement of 662 m² in Plaza Central derived from BOMA's (Building Owners and Managers Association) study.

	4Q19		4Q18		Ch.	
Same-property	m ²	%	m ²	%	Δ m ²	Δ p.p.
Office Occupancy	118,061	87.2%	116,783	86.5%	1,278	0.7 p.p.
Industrial Occupancy	327,339	98.2%	333,220	100.0%	(5,881)	(1.8 p.p.) ⁽¹⁾
Retail Occupancy	19,350	100.0%	19,327	99.9%	23	0.1 p.p.
Same-property Occupancy	464,750	95.2%	469,330	96.2%	(4,580)	(1.0 p.p.)

(1) Main decrease in the Huasteco Nippon property for 5,293 m².

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Capital Expenditure (Capex)

Fibra Mty's annual CAPEX budget in 2019 amounts to Ps. 42.0 million.

As of December 31st, 2019, the deployed CAPEX, used to calculate AFFO, was composed as follows:

<i>Thousands of Mexican pesos</i>	4Q19	3Q19	2Q19	1Q19	2019
Capitalized CAPEX on Investment properties	16,442	8,388	10,231	7,584	42,645
- Financed CAPEX ⁽¹⁾	5,614	178	107	942	6,841
- Retained and deployed CAPEX in 2019 ⁽²⁾	-	-	-	35	35
= Capitalized CAPEX, net	10,828	8,210	10,124	6,607	35,769
+ CAPEX deployed as operating expense	2,430	-	-	-	2,430
+ Remaining CAPEX generated in 2019	(2,758)	2,290	376	3,893	3,801
= Budgeted CAPEX	10,500	10,500	10,500	10,500	42,000
- CAPEX deployed as operating expense	2,430	-	-	-	2,430
= Budgeted CAPEX, used to calculate AFFO	8,070	10,500	10,500	10,500	39,570

- (1) Includes the replacement of an air conditioning system and installation of a wastewater treatment system in the OEP portfolio, which will allow us to provide a better service, reduce energy costs and save maintenance expenses in the upcoming 3 years due to the guarantees granted by the supplier. The total cost of this project is estimated at Ps. 35.6 million. As of December 31st, 2019, the accumulated expense incurred was Ps. 32.8 million (Ps. 14.2 million, Ps. 17.4 million and Ps. 1.2 million in 2017, 2018, and 2019, respectively).
- (2) Corresponding to the replacement of the electric transformer at one of our properties. As of December 31st, 2019, the remaining CAPEX to be deployed totaled Ps. 21.9 million, composed of generated and / or remaining reserves in 2016, 2017, 2018 and 2019, for Ps. 5.9 million, Ps. 1.1 million, Ps. 11.1 million and Ps. 3.8 million, respectively.

Acquisitions

Garibaldi Portfolio

On November 27th, 2019, Fibra MTY completed the acquisition of 3 industrial buildings located in the Apodaca and Cienega de Flores municipalities within the state of Nuevo Leon, representing a total acquisition of approximately 35,728 square meters of GLA.

This transaction was arranged in less than a month after successfully closing Fibra Mty's second follow-on offering under its ATM program of real estate securities ("CBFIs") for approximately Ps. 3,900 million, announced on October 28th, 2019.

The three buildings are 100% leased under triple net contracts (NNN), whereby, in addition to the rent, the tenant covers operating expenses, insurance and property taxes. All leases are denominated in US dollars, with an income weighted average lease term remaining of 4.5 years.

The agreed price for the purchase of such properties was approximately Ps. 545.4 million, plus the corresponding VAT related to construction, and other taxes, as well as acquisition expenses. This portfolio is expected to generate an additional NOI of approximately Ps. 47.4 million during the twelve months following its acquisition.

It is worth noting that the fourth building of the Garibaldi Portfolio was partially paid during January and it is estimated to be fully settled during the 3Q20.

Fagor Expansion

On December 6th, 2019, Fibra MTY completed the acquisition of a of a land plot to expand the “Huasteco Fagor” industrial building in San Luis Potosi, SLP, property of Fibra Mty. The land plot has an approximate area of 10,045 m², where the construction of ~ 5,400 m² of additional GLA is conducted; pursuing to meet the growth requirements of the Tenant.

Between land and construction, total investment adds up to approximately Ps. 40.6 million, plus VAT on construction as well as other taxes and acquisition expenses. The property, currently under construction, is expected to be concluded and delivered on next April.

The property's is currently under a dollar-denominated triple net lease agreement (“NNN”) which stipulates a mandatory term of 7.6 years, and, is estimated to generate a NOI of Ps. 3.9 million during the twelve months following the initial payment of rent corresponding to the expansion. Regardless of the delivery date of this new space, it was arranged with the tenant that the monthly payment of additional rent corresponding to the expansion would begin in January 2020, consequently Fibra Mty is already receiving the income stemmed from this rent.

4Q19 Earnings Release

Financial Performance

4Q19 results were marked primarily by: i) higher revenue from the early termination of certain lease contract, fee increases in lease contracts and revenue generated by the Garibaldi, Filios, Patria and Zinc acquisitions, which were partially offset by the kick-off of Cuprum's conversion process, to reach its best and highest use, as mentioned lines above, as well as negative FX effects and certain vacancies; ii) higher administrative expenses following wage increases (associated to annual inflation adjustments), professional fees, technology expenses, reserves arranged to support communities, among others; iii) lower net financial expenses due to the yield obtained from the second follow-on offering under the ATM program; and, iv) valuation effects, with no impact on cash distribution, such as: a) the increase in the fair value of Fibra Mty's portfolio and b) an unrealized FX gain on U.S. dollar-denominated bank loans.

<i>Thousands of Mexican Pesos</i>	4Q19	4Q18	Δ%	3Q19	Δ%
Total Revenue	316,090	254,704	24.1%	302,454	4.5%
Operating Expenses, net of CAPEX in results	30,972	29,448	5.2%	30,715	0.8%
CAPEX recognized in P&L, in compliance with IFRS	2,430	68	3,473.5%	-	-
Administrative Expenses	28,890	25,759	12.2%	27,716	4.2%
CBFI Executive Compensation Plan	8,150	33,289	(75.5%)	8,150	0.0%
(Expense) from properties measured at fair value	(414,245)	179,446	(330.9%)	294,539	(240.6%)
Interest Income	54,789	25,149	117.9%	16,986	222.6%
Interest Expense	66,513	49,736	33.7%	66,957	(0.7%)
Foreign Exchange Gain (Loss), net	206,376	(64,903)	(418.0%)	(134,141)	(253.9%)
Income Before Income Taxes	26,055	256,096	(89.8%)	346,300	(92.5%)
Income Tax	341	1,078	(68.4%)	621	(45.1%)
Consolidated Net Income	25,714	255,018	(89.9%)	345,679	(92.6%)
Valuation of derivative financial instruments	43,911	(14,014)	(413.3%)	(45,120)	(197.3%)
Consolidated Comprehensive Income	69,625	241,004	(71.1%)	300,559	(76.8%)

4Q19 Earnings Release

<i>Thousands of Mexican pesos</i>	4Q19	4Q18	Δ%
Same-Property Revenue	243,168	236,080	3.0%
Revenue from Acquisitions	72,922	15,043	384.7%
Revenue from properties undergoing conversion	0	3,581	-
Fibra Mty Revenue	316,090	254,704	24.1%
Operating Expenses, net of CAPEX in results – Same-properties	(28,577)	(28,514)	0.2%
Operating Expenses, net of CAPEX in results – Acquisitions	(2,203)	(767)	187.2%
Operating Expenses, net of CAPEX in results – Properties undergoing conversion	(192)	(167)	15.0%
Operating Expenses, net of CAPEX in results – Fibra Mty	(30,972)	(29,448)	5.2%
Same-Property NOI	214,591	207,566	3.4%
NOI from Acquisitions	70,719	14,276	395.4%
NOI from Properties undergoing conversion	(192)	3,414	(105.6%)
Fibra Mty NOI	285,118	225,256	26.6%
Administrative Expenses	(28,890)	(25,759)	12.2%
Excluding depreciation, amortization, and accrued leasing commissions	3,070	1,365	124.9%
EBITDA	259,298	200,862	29.1%

Total Revenue

4Q19 Total Revenue climbed to Ps. 316.1 million, a 24.1% increase compared to that of 4Q18.

In same-property terms, 4Q19 Total Revenue increased 3.0% year-over-year, reaching Ps. 243.2 million, primarily due to the early termination of a certain contract at our OEP portfolio; and, rent increases following inflation adjustments at certain properties (as per contracts denominated in Mexican pesos and U.S. dollars). The foregoing was offset to a lesser extent by a negative FX effect, as the average exchange rate applied to leases went from Ps. 19.68 in 4Q18 to Ps. 19.48 this quarter, representing a ~Ps. 1.4 million contraction; and, to certain vacancies, which resulted in a 110 basis points decrease in GLA terms.

Revenue from acquisitions contributed Ps. 57.9 million this quarter, this increase represented 22.7% of total revenue recorded in 4Q18. It is worth noting that as of July 2019, Fibra MTY signed a new lease contract at the Patria property, acquired in October 2018; bringing its occupancy level to 100%.

4Q19 Earnings Release

The decrease in income derived from the beginning of the conversion process of Cuprum, towards its best and highest use, as mentioned above, was Ps. 3.6 million, a 1.6% contraction when compared to 4Q18. However, it is relevant to mention that the relocation of this property's tenant to a new location (Zinc) generated an additional quarterly revenue of over Ps. 4.0 million pesos as of July 2019, with a positive quarterly net effect of approximately Ps. 0.5 million, separately from the upside potential expected from the reconversion of Cuprum.

Operating Expenses, net of Capex in results

4Q19 Operating Expenses, net of CAPEX in results, amounted to Ps. 31.0 million, 5.2% higher when compared to 4Q18

4Q19 Same-Property Operating Expenses, net of CAPEX in results, remained practically in line with that of 4Q18 increasing only 0.2%, to reach Ps. 28.6 million.

4Q19 Operating Expenses from Acquisitions, net of CAPEX in results, reached Ps. 2.2 million, a 4.9% increase compared to 4Q18.

4Q19 Operating Expenses from the Cuprum building, currently undergoing a conversion to enhance its utilization, reached Ps. 0.2 million, in line with that of 4Q18, increasing only 0.1%

4Q19 NOI margin was 90.2%, 180 basis points higher than that reported in 4Q18.

4Q19 Same-Property NOI margin was 88.2%, remaining practically unchanged against the figure reported in 4Q18 (+30 basis points).

Administrative Expenses

Administrative, trustee and general expenses reached Ps. 28.9 million in 4Q19, a 12.2% increase when compared to 4Q18, mainly explained by: i) inflation adjustments in wages; ii) increase in professional fees associated to the beginning of the internal audit function by KPMG Cardenas Dosal, S.C., as well as other consultancy services on legal and risk matters; iii) technology expenses; iv) provision to support social and environmental development of Mexican communities; v) travel expenses; and, vi) and other minor expenses.

CBFI Executive Compensation Plan

Fibra Mty provides a CBFI-based compensation plan for the Internal Manager's key executives and staff, as well as for the Technical Committee's Chairman. The CBFI Executive Compensation Plan is settled in equity. The CBFI Executive Compensation Plan's value is reviewed and paid annually and has a maximum permitted value of up to 0.75% of the Trusts' market capitalization at the beginning of the year, subject to compensation if the measurement parameters previously authorized by the Technical Committee are met.

As of December 31st, 2019, the value of the CBFI Executive Compensation Plan was determined according to a measurement with the following considerations: (i) Trust's performance/CBFI with a weighting factor of 60%; and (ii) market condition (using as reference the S&P/BMV FIBRAS RT index) with a weighting factor of 40%.

4Q19 Earnings Release

During 4Q19, Fibra Mty recorded a Ps. 8.2 million provision of this plan, down 75.5% when compared to 4Q18, primarily attributed to the fulfillment of the plan's established metrics, going from 100% at the end of 4Q18 to 60% in 4Q19, the latter only represents the performance metrics.

As of December 31st, 2019, annual provision reached Ps. 30.9 million, equal to 2,812,684 CBFIs using as reference the CBFi closing price as of provision date (Ps. 11.59 per CBFi) and considering the negative Ps. 1.7 million valuation effect from last year's compensation plan. In compliance with IFRS, this provision was recognized in the P&L statement and will be paid in securities, net of its corresponding taxes.

Fair Valuation of Investment Properties

The fair valuation of Fibra Mty's investment properties is determined with the assistance of qualified independent appraisers unrelated to Fibra Mty. Based on the nature and type of properties included in our portfolio, the administration has chosen the income approach as the most appropriate method to calculate fair valuation, which consists of discounting at NPV the future cash flows expected from leasing income and a terminal value.

Compared to 4Q18, the fair valuation of Fibra Mty's investment properties decreased Ps. 593.7 million, to reach a Ps. 414.2 million loss in 4Q19. This variation is primarily derived from a Ps.0.8081 per U.S. dollar appreciation during the fourth quarter of 2019, which was offset to a lesser extent by a 2.8% average annual inflation in Fibra Mty's lease contracts.

Additionally, it is important to note that, since the establishment of Fibra Mty in December 2014 and up to the reporting date, the mark-to-market valuation of properties have generated a Ps. 877.9 million fair valuation gain. However, these valuation effects would be only monetized at the time of sale, or throughout the useful life of the buildings, from cash flows obtained by current leasing contracts plus a terminal value and, also, considering that the assumptions used to calculate the valuations, such as inflation, exchange rates, discount and final capitalization rates are subject to changes according to current market conditions at each measurement date. The administration updates the aforementioned assumptions on a quarterly basis to estimate the fair valuation of Fibra Mty's properties.

NOI & EBITDA

4Q19 NOI reached Ps. 285.1 million, 26.6% above than that of 4Q18.

4Q19 NOI Margin was 90.2%, 180 base points higher than that reported in 4Q18. Same-property NOI margin reached 88.2%, remaining practically in line with that of 4Q18 by increasing 30 basis points.

4Q19 EBITDA totaled Ps. 259.3 million, 29.1% higher when compared to 4Q18. EBITDA margin was 82.0% in 4Q19, 310 basis points above the figure recorded in 4Q18, mainly explained by the margin contribution from the Garibaldi, Filios and Patria acquisitions.

NOI and EBITDA exclude: i) CAPEX recognized in P&L, in accordance with IFRS; ii) provision of the CBFi Executive Compensation Plan, as it is an item that can be settled through the issuance of CBFIs; and, iii) fair valuation gain (loss) of real estate, as it is an item with no impact on cash flow generated during the year.

4Q19 Earnings Release

Financial Result

4Q19 financial income amounted to Ps. 54.8 million, an increase of 117.9% compared to 4Q18, mainly derived from the higher daily average cash balance invested in short-term securities as a result of the resources obtained from the second placement of CBFIs under the ATM program, completed at the end of October 2019; which was offset to a lesser extent by the deployment of resources for the Garibaldi and Filios acquisitions executed on November 27th, 2019 and December 18th, 2018, respectively.

Financial expenses reached Ps. 66.5 million in 4Q19, 33.7% higher than that of 4Q18. The increase was primarily attributed to the additional interests accrued from the syndicated loans subscribed with HSBC and Bancomer during December 2018, both used for the Filios acquisition.

Foreign exchange result increased by Ps. 271.3 million over 4Q18, to reach a Ps.206.4 million gain in 4Q19. This variation was largely derived from a Ps.0.8081 per U.S. dollar appreciation, which had a considerable mark-to-market effect on the valuation of Fibra Mty's U.S. dollar-denominated bank loans, whose average quarterly balance as of December 31, 2019, was US\$ 264.2 million.

Consolidated Net Income

Fibra Mty's consolidated net income decreased Ps. 229.3 million, from Ps. 255.0 million in 4Q18, to Ps. 25.7 million this quarter. When adjusted for fair valuation effects, the FX result and CBFI Executive Compensation Plan, Fibra Mty's consolidated net income increased Ps. 68.0 million, following greater revenues and financial income, which were slightly offset by higher operating, administrative and financial expenses, explained lines above.

Derivative Financial Instruments

At the end of 4Q19, Fibra Mty holds interest rate swaps to fix the floating rates in U.S. dollars of its Citibanamex (syndicated), Sabadell, Scotiabank, HSBC (syndicated) loans and the additional BBVA credit line (Huasteco) at 4.73%, 5.21%, 5.23%, 4.90% and 5.26%, respectively. The fixed interest rate of the Citibanamex syndicated loan was calculated on a weighted basis as of the date of the maturity extension through the swaps arranged for this purpose.

When compared to 4Q18, Fibra Mty's derivative financial instruments valuation increased Ps. 57.9 million, reaching a Ps. 43.9 million gain in 4Q19. The foregoing was largely explained by an increase of approximately 60 basis points in the expected LIBOR rate, for all terms, between 1 and 5 years during the quarter. It is relevant to note that a lower valuation has no material effect on Fibra Mty's cash flow.

FFO & AFFO

Fibra Mty generated Ps. 243.4 million in funds from operations (FFO) during 4Q19, up 39.1% compared to 4Q18, equivalent to Ps. 0.287 per CBFI. On an annualized basis, FFO/CBFI yield for 4Q19 (calculated at a CBFI price of Ps. 11.93 as of December 31st, 2018) reached 9.6%.

4Q19 CAPEX and provisions of right-of-use assets amounted to Ps. 14.8 million, bringing the adjusted funds from operations (AFFO) to Ps. 228.6 million, 37.1% higher than that recorded in 4Q18, equal to an AFFO/CBFI of Ps. 0.270. On an annualized basis, 4Q19 AFFO/CBFI yield (calculated at a CBFI price of Ps. 11.93) reached 9.1%.

4Q19 Earnings Release

<i>Thousands of Mexican pesos</i>	4Q19	4Q18	Δ%	3Q19	Δ%
Consolidated Comprehensive Income	69,625	241,004	(71.1%)	300,559	(76.8%)
Income from financial derivatives valuation	(43,911)	14,014	(413.3%)	45,120	(197.3%)
Expense (Income) for properties measured at fair value	414,245	(179,446)	(330.9%)	(294,539)	(240.6%)
Foreign Exchange (Gain) Loss net	(207,507)	65,977	(414.5%)	134,537	(254.2%)
Depreciation & Amortization	2,059	495	316.0%	562	266.4%
Accrued Leasing Commissions	1,011	870	16.2%	837	20.8%
Amortization of Debt Costs	4,967	2,657	86.9%	3,902	27.3%
Valuation effect of amendment to syndicated loan	(1,370)	(1,357)	1.0%	(1,382)	(0.9%)
Valuation effect of right-of-use assets	516	-	-	-	-
CBFI Executive Compensation Plan	8,150	33,289	(75.5%)	8,150	0.0%
Non-monetary straight-line amortization income	(3,134)	(633)	395.1%	(848)	269.6%
Income from subsidiary	(1,243)	(1,874)	(33.7%)	(1,016)	22.3%
FFO	243,408	174,996	39.1%	195,882	24.3%
CAPEX ¹	(8,070)	(8,182)	(1.4%)	(10,500)	(23.1%)
Provision for upfront income ²	(4,912)	-	-	-	-
Disbursement for right-of-use assets ³	(1,776)	-	-	-	-
AFFO	228,650	166,814	37.1%	185,382	23.3%

- (1) 2019 CAPEX for AFFO's consolidation and explanation is available in the Operational Performance section (Capital Expenditure (CAPEX) subsection of this report).
- (2) Corresponds to a non-recurring income from the early termination of certain contract at our OEP Portfolio, as mentioned in the Total Revenue subsection of this section.
- (3) Leasing of parking lots recognized, in compliance with IFRS 16, as a decrease in lease liability, instead of operating expenses, as we did prior to the effective application of such accounting standard.

4Q19 Earnings Release

Distribution per CBFI

As a result of its 4Q19 operating performance, Fibra Mty will distribute Ps. 227.1 million to its CBFI holders, of which Ps. 60.5 million correspond to the October distribution and were paid in advance to avoid dilution effects that would have been generated by the second placement of CBFIs carried out at the end of October 2019. As informed in our previous quarterly report, the difference of Ps. 1.5 million versus 3Q19 AFFO and the AFFO effectively distributed in the same period, based on estimates, will be deducted from the 4Q19 distribution.

	4Q19 ¹	3Q19	2Q19	1Q19	4Q18 ²
Total CBFIs Outstanding (thousands)	964,158.288	638,434.184	639,967.331	637,801.637	636,167.915
CBFI Price (beginning of the year)	Ps. 11.93	Ps. 11.93	Ps. 11.93	Ps. 11.93	Ps. 12.6
CBFI Price (beginning of the quarter)	Ps. 12.00	Ps. 11.80	Ps. 11.94	Ps. 11.93	Ps. 12.7
Distributions (thousands of Mexican pesos)	Ps. 227,135	Ps. 186,897	Ps. 186,784	Ps. 169,587	Ps. 166,814
Distributions per CBFI	Ps. 0.2676	Ps. 0.2927	Ps. 0.2919	Ps. 0.2659	Ps. 0.2622
Annualized Distribution Yield (beginning of the year)	9.1%	9.8%	9.8%	8.9%	8.3%
Annualized Distribution Yield (beginning of the quarter)	9.0%	9.9%	9.8%	8.9%	8.3%

(1) 4Q19 Financial Indicators per CBFI consider 638,434.184 thousand CBFIs in October and 964,158.288 thousand during November and December.

(2) 4Q18 Financial Indicators per CBFI consider 636,181.928 thousand CBFIs in October and 636,167.915 thousand during November and December.

4Q19 Earnings Release

2020 Guidance

The Guidance approved at the Technical Committee Meeting held on February 12nd, 2020 reflects a number of significant developments of Fibra Mty's evolution. The most important is the dilution effect caused by the second follow-on offering carried out on October 28th, 2019, in addition to Fibra Mty's operational effects, which is detailed below:

1. In terms of operating performance, 2020 is a year with an important number of lease renewals, representing 14.1% of total lease revenue.
2. On the financial front, the interest rate cuts on government securities, from 8.0% in 2019 to 7.0%, will reduce the estimated financial income for 2020.
3. As for acquisitions, market capitalization rates have begun to compress.

In this context and taking into account the importance of USD/MXN exchange rate fluctuations, two target ranges were considered depending on the average exchange rate applied on leases throughout the year.

Guidance 2020		
Exchange rate (USD-MXN)	Ps. 19.00 – Ps. 19.49	Ps. 19.50 – Ps. 20.00
Target cash distribution per CBFI	Ps. 1.0600 – Ps. 1.0800	Ps. 1.0801 – Ps. 1.1000

It is important to note that Fibra Mty' Guidance implies a distribution yield between 8.8% and 9.1%, considering a CBFI price of Ps. 12.05 at the end of 2019. This is approximately 250 basis points above the 10-year bond and 550 basis points above the estimated inflation for 2020.

4Q19 Earnings Release

Debt and Cash Equivalents

As of December 31st, 2019, the Trust has 12 credit lines, with a weighted average rate of 4.42%, as detailed below:

Thousands of Mexican pesos	4Q19	Currency	Rate	Floating Rate 31Dec19	Fixed Rate Hedge	Maturity	3Q19	Δ% 4Q19 vs 3Q19
<u>Secured Loans</u>								
Bank Syndicate ("Citi Banamex")	1,765,369 ⁽¹⁾	US\$	Libor + 2.5%	4.26%	4.73%*	Dec-23	1,857,486 ⁽¹⁾	(5.0%)
Seguros Monterrey New York Life	72,375	US\$	5.10%	-	-	Feb-23	80,736	(10.4%)
BBVA ("Fagor")	37,470	US\$	3.98%	-	-	Mar-23	40,824	(8.2%)
BBVA ("Nippon")	38,063	US\$	4.64%	-	-	May-24	41,001	(7.2%)
BBVA ("CEDIS")	151,229	US\$	4.60%	-	-	Mar-25	162,895	(7.2%)
BBVA ("Central Star")	35,401	US\$	Libor + 2.50%	4.26%	-	Nov-23	38,389	(7.8%)
BBVA ("Huasteco")	191,724	US\$	Libor + 2.50%	4.26%	5.26%	Nov-28	203,754	(5.9%)
Sabadell	240,192	US\$	Libor + 2.90%	4.66%	5.21%	Mar-27	254,935	(5.8%)
Scotiabank	357,850	US\$	Libor + 2.50%	4.26%	5.23%	Apr-23	376,327	(4.9%)
Bank Syndicate ("HSBC")	1,415,453	US\$	Libor +2.25%	4.01%	4.90%	Dec-24 ⁽⁴⁾	1,476,060	(4.1%)
<u>Unsecured</u>								
HSBC ⁽⁵⁾	660,545	US\$	Libor + 2.05%	3.81%	-	Mar-22	688,828	(4.1%)
TOTAL	4,965,671 ⁽²⁾						5,221,235 ⁽³⁾	(4.9%)

*The fixed interest rate of the syndicated loan was calculated on a weighted basis as of the date of the maturity extension through the swaps arranged for this purpose. In cash flow terms, 4Q19 interest expenses were paid at a weighted average interest rate of 3.87%, which will be applicable until December 2020.

⁽¹⁾ Excluding the valuation effect associated to the maturity extension of the Citibanamex syndicated loan.

⁽²⁾ Equivalent to US\$ 263,114 thousand, using an exchange rate of Ps.18.8727 as of December 31st, 2019

⁽³⁾ Equivalent to US\$ 265,296 thousand, using an exchange rate of Ps. 19.6808 as of September 30th, 2019

4Q19 Earnings Release

(4) The maturity of the HSBC syndicated loan considers a 1-year extension option.

(5) Includes two unsecured credit facilities for US\$ 28 million and US\$ 7 million, under the same terms and conditions.

Fixed Rate	86.0%	USD-Denominated	100.0%
Floating Rate	14.0%	MXN-Denominated	0.0%

<i>Maturities*</i>	2020	2021	2022	2023	2024	2025	2026	2027	2028	Total
Amount	169,842	220,480	1,671,942	1,253,385	1,362,717	54,408	34,863	123,544	74,490	4,965,671
Percentage	3.4%	4.5%	33.7%	25.2%	27.4%	1.1%	0.7%	2.5%	1.5%	100.0%

** Considers the 1-year extension option of the HSBC syndicated loan*

Syndicated Loan (“Citi Banamex”)

The US\$ 93.5 million syndicated loan subscribed on December 15th, 2015, with an original maturity due 2020 was successfully extended by Fibra Mty in April 2018, with the primary objective of mitigating the refinancing risk at a single point in time, from a remaining term of 2.5 to 5 years, approximately. The negotiation distributed the payment of the outstanding loan’s balance into two tranches, with new maturities due June 15th, 2022 and December 15th, 2023. It is important to note that the applicable interest rate remained unchanged at LIBOR plus 250 basis points and the remaining term was completely hedged, resulting in a new weighted average rate of 4.73%, calculated at the date of this extension.

Seguros Monterrey New York Life Loans

This US\$ 3.8 million credit facility corresponds to the recognition of an outstanding long-term debt balance for the Redwood acquisition, subscribed at an annual fixed rate of 5.10%, due February 2023.

BBVA Loans

The five BBVA loans, for an aggregate amount of US\$ 24.0 million, correspond to: i) the recognition of an existing long-term debt related to the acquisition of the Huasteco portfolio, mostly contracted at a fixed rate, with maturities due 2023, 2024 and 2025, and, ii) credit line increase for an original amount of US\$ 11.0 million arranged on December 14th, 2018, with a 10-year term and monthly payments of principal and interest. The variable rate of this credit facility was covered by a swap of the same maturity profile fixing it at 5.26% in USD.

Sabadell Loan

The US\$ 12.7 million credit line subscribed with Sabadell at year-end 2017 has a 10-year term with monthly amortizations of principal and interest. The floating rate of this loan was covered by a swap with the same maturity profile, fixing it at 5.21% in USD.

Scotiabank Loan

The US\$ 19.0 million credit facility subscribed with Scotiabank on April 23rd, 2018, has a 5-year term with monthly amortizations of principal and interest. The floating rate of this loan was covered by a swap with the same maturity profile, fixing it at 5.23% in US dollars.

Syndicated Loan (“HSBC”)

The US\$ 75.0 million balance corresponds to the first arrangement of the syndicated credit line subscribed on December 10th, 2018, for up to US\$ 150 million, which was used to partially settle the Filios acquisition.

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This loan has a 5-year term with a 1-year extension option. The variable rate of this arrangement was covered by a swap with the same maturity, fixing it at 4.90% in USD.

HSBC Unsecured Loans

Two credit facilities subscribed with HSBC for US\$ 28.0 million and US\$ 7.0 million, jointly amounting to US\$ 35.0 million. Both loans mature on March 15th, 2022 and have monthly interest payments at a rate of LIBOR + 205 basis points. The US\$ 35 million loan was used on March 20th, 2019 to prepay the Actinver and Banorte revolving credit lines, in order to reduce our cost of debt.

Cash

Regarding cash & cash equivalents, as of December 31st, 2019, Fibra Mty held a balance of Ps. 3,743.5 million, an increase of 514.7%, or Ps. 3,134.5 million compared to the figure recorded as of December 31st, 2018. This variation was mainly explained by the proceeds from the second placement of CBFIs under the ATM program, which, net of issuance costs, totaled Ps. 3,839.7 million, and were partially used to acquire the Garibaldi portfolio at the end of November 2019, for approximately Ps. 559.5 million, plus VAT on construction and development projects.

Relevant Developments

1. On October 28th, 2019, Fibra Mty carried out the second placement of CBFIs under its ATM program. The Trust issued 324,810,047 CBFIs at a price of Ps. 12.00 per CBF, equivalent to Ps.3,898 million. The stabilization period of the follow-on offering concluded on November 8th, 2019 through the exercise of the over-allotment option made by Bancomer, on behalf of the underwriters. On November 8th, 2019, Fibra Mty received all the offering proceeds, which totaled Ps.3,840 million (net of Ps. 57,801 in issuance costs).
2. On November 27th, 2019, Fibra Mty completed the acquisition of three of four industrial buildings belonging to the Garibaldi portfolio, located in the Apodaca, Cienega de Flores and Guadalupe municipalities, all within the State of Nuevo Leon, with an GLA of approximately 44,031 m².

The purchase price for the three acquired properties located in the Cienega de Flores and Apodaca municipalities was agreed in US\$ 27.9 million, plus the corresponding VAT related to construction, and other taxes, as well as acquisition expenses. The acquisition cost was settled in cash raised from the previously mentioned follow-on offering. Pending only the payment of the property located in the Guadalupe municipality, for approximately US\$ 6.0 million, whose partial liquidation was made in January 2020. The remaining balance will be settled progressively according to the dates on which such property begins to generate income from leases, as per term of the corresponding contract.

Considering the total acquisition price of the four buildings, Fibra Mty expects that this portfolio will generate an additional net operating income ("NOI") of approximately US\$ 2.9 million during the twelve months following its acquisition.

3. On December 6th, 2019, Fibra Mty completed the acquisition of a land plot to expand the Huasteco Fagor industrial building. The land plot has an approximate area of 10,045 m², and is located in San Luis Potosi, SLP, where an expansion of the Huasteco Fagor industrial facility, property of Fibra Mty, will be carried out with an approximate investment of US\$ 1.7 million. The expansion, to be executed in a period of approximately 6 months from the date of acquisition, will be build-to-suit and will add a gross leasable area (GLA) of approximately 5,400 m², which will be associated to the existing US-dollar denominated triple net lease agreement on the Huasteco Fagor building. The property's lease contract, including the expansion area, stipulates a mandatory term of 7.6 years. Specifically, regarding the expansion area, Fibra Mty expects that this expansion will generate an additional NOI of US\$ 0.2 million during the twelve months following its acquisition.

The acquisition price was agreed at US\$ 0.4 million, plus other taxes and acquisition expenses. This price was settled in cash.

4Q19 Earnings Release

Conference Call

4Q19 CONFERENCE CALL fibramty

Date: Thursday, February 20th, 2020

Time: 12:00 p.m. (CST, Mexico City)
01:00 p.m. (EST, N.Y.)

Dial-in number:

USA / International
Tel: +1-334-323-7224

Mexico
Tel: +001 334-323-7224

4Q19 earnings release date:

Wednesday, February 19th, 2020
(after market close)

Presenters:

- Jorge Avalos, CEO
- Javier Llaca, COO
- Jaime Martínez, CFO

Passcode:

FIBRA

MP3 Recording:

Available 60 min. after the
conference call at:
www.fibramty.com

Additional information:

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Apalache Analisis	Jorge Placido
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Monex	Jose Roberto Solano
Signum Research	Armando Rodriguez

About Fibra Mty

Fibra Mty is a real estate investment trust (“FIBRA”) that initiated operations on December 11, 2014 identified by the number F/2157 (“Trust 2157”), and also as “Fibra Mty” or “FMTY”. Fibra Mty’s strategy is based mainly on the acquisition, administration, development and operation of corporate properties in Mexico, predominantly office properties. Fibra Mty is a FIBRA qualified as a transparent entity under Mexican Income Tax laws; therefore, all revenues derived from Fibra Mty’s operation are attributable to the holders of its CBFIs, given that Trust 2157 is not subject to Income Tax in Mexico. In order to maintain FIBRA status articles 187 and 188 of Mexican Income Tax Law establish that FIBRA such as Trust 2157 must distribute annually at least 95% of their net income to holders of CBFIs and invest at least 70% of their assets in real estate rental properties, among other requirements. Fibra Mty is internally-managed by Administrador Fibra Mty, S.C., making Fibra Mty the first investment vehicle of its kind within the FIBRAS sector in Mexico, supported by an innovative corporate governance structure, aligned with investor interests, generating economies of scale and taking advantage of the opportunities offered by the real estate market.

Forward-looking Statements

This press release may contain forward-looking statements or guidance related to Fibra Mty which includes estimates or considerations about the Company’s operations, business and future events. Statements about future events may include, without limitation, any statement that may predict, forecast, indicate or imply future results, operations or achievements, and may include words such as “anticipates”, “believes”, “estimates”, “expects”, “plans” and similar expressions, as they relate to the Company. Such statements reflect the current views of management and are subject to a number of risks and uncertainties. Results may be materially different from the expressed in this report. There is no guarantee that the expected events, trends or results will actually occur. The statements are based on many assumptions and factors, including general economic and market conditions, industry conditions, and operating factors. Any changes in such assumptions or factors could cause actual results to differ materially from current expectations.

4Q19 Earnings Release

Financial Statements

Consolidated Statements of Financial Position As of December 31st, 2019, and December 31st, 2018 Figures in thousands of Mexican pesos (\$)

	As of December 31 st , 2019	As of December 31 st , 2018
Assets		
Current assets:		
Cash and cash equivalents	\$ 3,743,548	\$ 609,031
Accounts receivable	13,616	2,555
Recoverable taxes	65,551	352,643
Derivative financial instruments	4,619	-
Other current assets	9,286	9,090
Total current assets	3,836,620	973,319
Furniture and office equipment	3,279	4,610
Intangible assets	15,923	17,908
Investment properties	13,734,998	13,247,281
Advance payments for the acquisition of investment properties	727	481
Derivative financial instruments	-	31,192
Right-of-use Assets	9,755	-
Other non-current assets	95,381	86,904
Total non-current assets	13,860,063	13,388,376
Total assets	\$17,696,683	\$14,361,695
Liabilities and equity		
Current liabilities		
Short-term bank loans	\$ -	\$ 217,312
Current portion of long-term bank loans	169,842	168,619
Interest payable	7,694	10,677
Accounts payable	49,426	125,711
Derivative financial instruments	288	-
Short-term leasing liabilities	1,327	-
Allowance	10,890	-
Taxes payable	22,417	23,698
Tenant deposits	23,146	10,037
Total current liabilities	285,030	556,054
Long-term bank loans	4,756,794	4,836,740
Deferred income tax	454	690
Derivative financial instruments	154,129	2,203
Long-term lease liabilities	8,669	-
Long-term allowances	944	-
Tenant deposits	93,880	103,647
Total liabilities	5,299,900	5,499,334
Trustor's equity:		
Contributed equity	11,479,436	7,628,397
Retained earnings	1,067,145	1,204,975
Other components of comprehensive income	(149,798)	28,989
Total equity	12,396,783	8,862,361
Total liabilities and equity	\$17,696,683	\$14,361,695

Financial Statements

Consolidated Statements of Comprehensive Income For the years ended December 31st, 2019 and 2018.

Figures in thousands in Mexican pesos (\$)

	2019	2018
Income from leasing of premises	\$ 1,094,751	\$ 837,518
Income from maintenance fees	84,456	78,286
Income from leasing of parking lots	32,430	30,020
Total Income	1,211,637	945,824
Property maintenance and management	92,971	85,733
Property manage fees	12,223	10,607
Property tax	11,880	11,537
Insurance	4,301	4,047
Administrative fees	73,448	65,943
Trust services and general expenses	38,706	29,005
CBFI Executive Compensation Plan	30,918	62,297
(Loss) gain from fair value of investment properties	(375,791)	445,316
Net gain on sale of investment properties	151	-
Financial income	105,025	121,015
Financial expenses	279,406	176,686
Foreign exchange gain, net	179,774	47,221
Income before taxes	576,943	1,113,521
Income taxes	2,662	1,833
Consolidated Net Income	\$ 574,281	\$ 1,111,688
Other comprehensive income:		
Items that may be reclassified to consolidated net income:		
Valuation effect of derivative financial instruments	(178,787)	(437)
Total other components of comprehensive income	(178,787)	(437)
Consolidated Comprehensive Income	\$ 395,494	\$ 1,111,251

4Q19 Earnings Release

Financial Statements

Consolidated Statement of Changes in Equity For the years ended December 31st, 2019 and 2018.

Figures in thousands of Mexican pesos (\$)

	Equity	Accumulated Results	Other Comprehensive Income	Total Equity
Balances as of December 31st, 2017	\$ 7,609,722	\$ 831,519	\$ 29,426	\$ 8,470,667
Contributed equity from CBFI replacement	4,183	-	-	4,183
Repurchase of CBFIs	(24,051)	-	-	(24,051)
Distributions to CBFI holders	-	(738,232)	-	(738,232)
CBFI Executive Compensation Plan	39,341	-	-	39,341
Equity issuance costs	(798)	-	-	(798)
Consolidated Comprehensive Income:				
Net consolidated income	-	1,111,688	-	1,111,688
Valuation effect of derivative financial instruments	-	-	(437)	(437)
Consolidated comprehensive income	-	1,111,688	(437)	1,111,251
Balances as of December 31st, 2018	\$ 7,628,397	\$ 1,204,975	\$ 28,989	\$ 8,862,361
Contributed equity, net of issuance costs	3,839,916	-	-	3,839,916
Contributed equity from CBFI replacement	47,858	-	-	47,858
Repurchase of CBFIs	(57,924)	-	-	(57,924)
Distributions to CBFI holders	-	(712,111)	-	(712,111)
CBFI Executive Compensation Plan	21,189	-	-	21,189
Consolidated Comprehensive Income:				
Net consolidated income	-	574,281	-	574,281
Valuation effect of derivative financial instruments	-	-	(178,787)	(178,787)
Consolidated comprehensive income	-	574,281	(178,787)	395,494
Balances as of December 31st, 2019	\$11,479,436	\$1,067,145	\$(149,798)	\$12,396,783

4Q19 Earnings Release

Financial Statements

Consolidated Statements of Cash Flow For the years ended December 31st, 2019 and 2018. Figures in thousands of Mexican pesos (\$)

	2019	2018
Cash Flow from operating activities:		
Income before taxes	\$ 576,943	\$1,113,521
Non-cash items:		
Non-cash adjustment on income from leases	(3,550)	(1,380)
Lease commissions	3,514	3,287
CBFI executive compensation plan	30,918	62,297
Depreciation, amortization and write-offs	5,153	3,284
Financial income	(105,025)	(121,015)
Financial expenses	279,406	176,686
Unrealized foreign exchange (gain)	(178,641)	(33,701)
Net gain on sale of investment properties	(151)	-
Other items	253	-
Loss (gain) from fair valuation of investment properties	375,791	(445,316)
Cash Flow from operating activities before changes in operating items	984,611	757,663
Accounts receivable	(10,160)	12,287
Other assets	(15,056)	(1,483)
Recoverable taxes, net	275,796	(338,579)
Accounts payable	10,229	8,029
Taxes payable	(12,121)	(25,421)
Tenant deposits	6,529	27,082
Cash Flow from operating activities	1,239,828	439,578
Income taxes paid	(1,246)	(6,086)
Net cash Flow from operating activities	1,238,582	433,492
Cash flow from investing activities:		
Acquisition of investment properties	(898,508)	(3,131,614)
Sale of investment properties	1,902	-
Advance payments for acquisition of investment properties	(654)	(481)
Acquisition of furniture and office equipment	(124)	(500)
Acquisition of intangible assets	(212)	(2,009)
Restricted cash	4,202	(31,291)
Interest received	104,027	118,846
Net cash flow used in investment activities	(789,367)	(3,047,049)
Cash flow from financing activities:		
Bank loans obtained	808,737	3,153,843
Bank loan payments	(923,998)	(566,347)
Interest paid	(266,962)	(140,055)
Debt issuance costs	(34,360)	(26,283)
Lease liabilities payments	(1,776)	-
Distributions to CBFI holders	(712,111)	(738,232)
Cash obtained from the issuance of CBFIs	3,945,579	4,183
Repurchase of CBFIs	(57,924)	(24,051)
Empty issuance costs	(58,058)	(798)
Net cash Flow used in financing activities	2,699,127	1,662,260
Increase (decrease) in cash and cash equivalents, net	3,148,342	(951,297)
Cash and cash equivalents at the beginning of the period	609,031	1,568,703
Effect of exchange rate fluctuations on cash and cash equivalents	(13,825)	(8,375)
Cash and cash equivalents at the end of the period	\$ 3,743,548	\$ 609,031

Comments on the Industrial and Office Real Estate Market

Office Market²

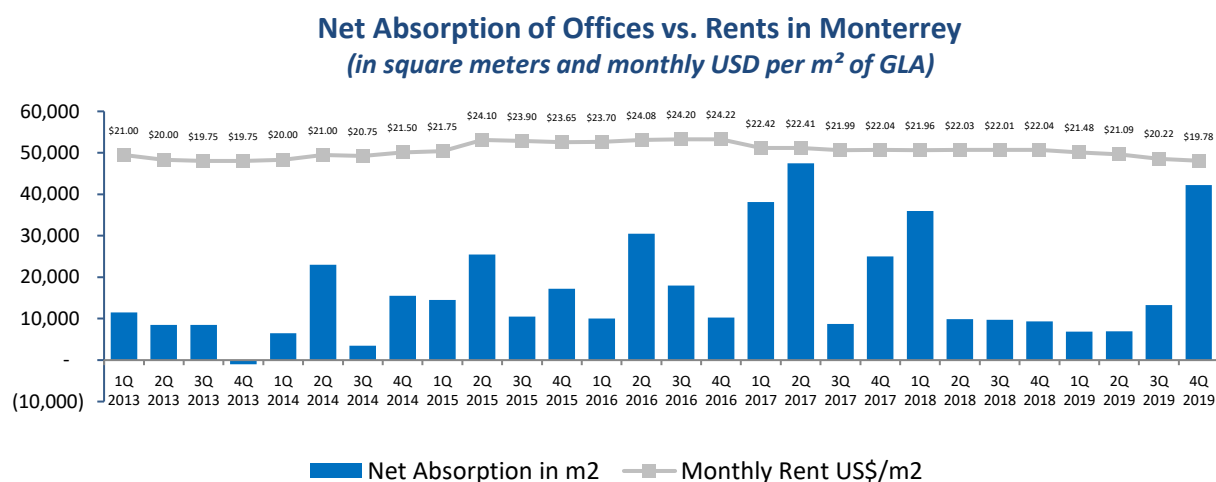
Monterrey

At the end of 2019, the office market in Monterrey registered a cumulative net absorption of 69 thousand m², being the 4Q19 the period that contributed the most to this figure, with 42 thousand m². This absorption was largely driven by the completion of new buildings, which were partially pre-leased.

The average asking price continued to show a moderate decline, mainly explained by the new spaces that has been added to inventory over the last months. At the end of 4Q19, the average asking price was US\$ 19.78 per m², US\$ 0.44 cents lower than the previous quarter, and US\$ 2.26 cents lower when compared to 4Q18.

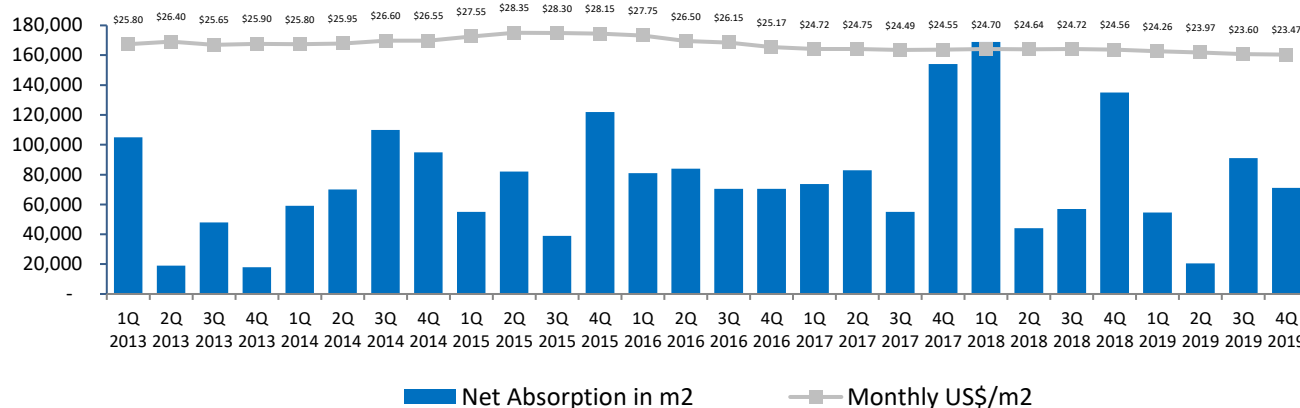
The Class A/A+ corporate office inventory totaled 1.31 million m² at the end of 2019, surpassing the 1.18 million m² reported at the end of 2018, with the San Jerónimo - Constitución and Monterrey Centro submarkets registering the highest growth. The vacancy rate increased 350 basis points, from 12.4% to 15.9% in 2019.

In terms of corporate space under construction, this indicator exceeded the 320 thousand m² mark by the end of 4Q19. The submarkets with the largest area under construction are Monterrey Centro, Valle Oriente and San Jerónimo - Constitución. During this year, more than 12 new buildings were added to inventory, which jointly represented a contribution of over 132 thousand m² of corporate space, the highest figure reported in the last decade.



² Source: CBRE Office Outlook, Mexico 4Q 2019

Net Absorption of Offices vs. Rents in Mexico City Metropolitan Area (in square meters and monthly USD per m² of GLA)



Mexico City Metropolitan Area

At the end of 2019, the class A/A+ corporate space stock closed at 6.8 million m², an annual growth of 5.3% compared to 2018, due to the incorporation of 340 thousand m². The annual gross absorption registered 404 thousand m², where the sectors that demanded the most space were the financial, energy and technological, with requirements ranging from 2 thousand m² to 14 thousand m².

The vacancy rate was 15.9% at the end of 2019, compared to the same quarter last year, this figure increased by 87 basis points, surpassing one million sqm of vacant corporate space, the highest figure recorded in recent years.

The corporate space under construction totaled 1.3 million sqm at the end of the quarter, the lowest figure in recent years. The Polanco, Reforma and Insurgentes submarkets concentrate 68.0% of the projects under construction. It is expected that the decline in construction activity will help accelerate the commercialization of existing vacant spaces.

4Q19 asking price closed at US\$ 23.47 per m², US\$ 0.13 and US\$ 1.09 cents lower than 3Q19 and 4Q18, respectively. The decrease in market prices is mainly attributed to stabilized submarkets that are offering more competitive prices due to the incorporation of new projects.

Guadalajara

At the end of 4Q19, the class A/A+ corporate office spaces under construction was 133 thousand m², 9.8% lower than the ~147 thousand m² reported at the same period last year. Regarding inventory, more than 654,000 m² were registered, higher than the 610,000 m² recorded at the end of 2018.

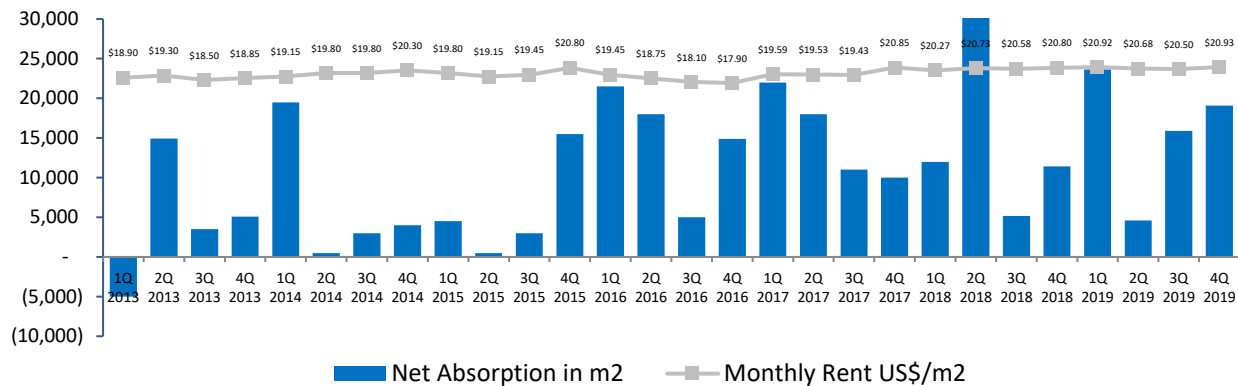
The vacancy rate closed the year at 19.3%, 300 basis points lower than the figure registered at the end of 4Q18. It is worth mentioning that since the beginning of 2018 no vacancy rate below 20% has been recorded, showing a positive market dynamism. The office inventory closed at 654 thousand m² in 4Q19,

4Q19 Earnings Release

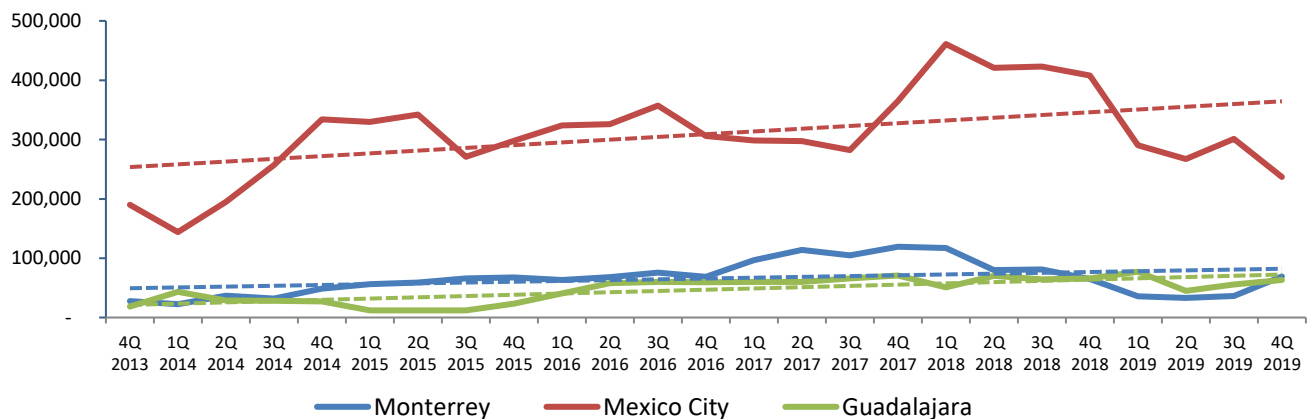
remaining unchanged versus the previous quarter, but 8.8% higher than 4Q18. The submarket that is contributing more square meters to the stock is Puerta de Hierro with 33.9% of the total.

Net absorption reached over 63 thousand m² in 2019, 9.0% more than the observed in 2018; on the other hand, accumulated gross absorption totaled 72 thousand m², 5.0% more than that of the previous year.

Net Absorption of Offices vs. Rents in Guadalajara
(in square meters and monthly USD per m² of GLA)



Net Absorption Trend - Office Spaces
(last twelve months, in square meters)



Industrial Market³

Monterrey

During 2019, the net absorption reached 320 thousand m², 9% higher than the one registered in 2018, mainly driven by the strong leasing activity of build-to-suit spaces.

At the end of the quarter, industrial space stock stood at 10.3 million m², an increase of 4.3% over the same period last year. It is expected that by 2020 inventory growth will exceed the levels recorded in 2019, since there are over 400 thousand m² of space under construction expected to be completed in next year, coupled with start of new construction projects.

The quarter's vacancy closed at 7.2%, representing just over 742 thousand m², an increase of 160 basis points compared to the 5.6% observed in 4Q18. This is mainly due to the increase in vacant stock, explained in previous lines.

The average asking price at the end of 4Q19 was US\$ 4.22 per m², in line with that of 3Q19, but increasing US\$ 0.06 when compared to the same period last year.

Saltillo

4Q19 net absorption reached 53 thousand m², bringing the accumulated figure in 2019 to 147 thousand m², 37% less than that recorded in 2018. It is expected that in 2020 this indicator will increase following the completion of build-to-suit spaces currently under construction. At the end of 2019, inventory closed at 3.1 million m², a 5.0% annual growth.

As of December 31st, 2019, the vacancy rate closed at 5.3%, decreasing 180 basis points compared to the previous year. A further contraction in vacancy is estimated for 2020 due to the high demand in the market.

The average asking price closed at US\$ 4.26 per m², the highest price recorded over the last 10 years following the high quality of buildings in the sector.

Bajío

At the end of 4Q19, the commercialization of industrial spaces surpassed the 405 thousand m² mark, representing a drop of 28% at the end of the same period last year. Class A industrial inventory totaled 12.3 million m², an increase of 3.0% compared to 4Q18.

At a regional level, the vacancy rate stood at 6.8%, which represents more than 840 thousand m² of vacant space, mainly driven by the incorporation of new space. Queretaro and Guanajuato recorded the highest vacancy rates, at 7.4%, while San Luis Potosi and Aguascalientes registered a vacancy rate below the sector

³ Source: CBRE Industrial Outlook, México 4Q 2019

4Q19 Earnings Release

average, at 5.9% and 4.6%, respectively. By 2020, it is expected that regional vacancy will decrease, in line with the growing demand for specs.

During 4Q19, the average asking price in the region was US\$ 4.04 per m², remaining stable when compared to 3Q19, but slightly lower than the US\$ 4.05 per m² recorded at the end of 4Q18. Guanajuato and San Luis Potosi posted prices above regional averages, reaching US\$ 4.11 per m² and US\$ 4.21 per m², respectively.

The industrial stock of Bajio increased 3.0% annually, equivalent to 390 thousand m². Queretaro and San Luis Potosi's inventories grew by 3.0% compared to the previous year. It is estimated that Guanajuato and SLP's industrial stocks will continue to grow as there are over 376 thousand m² under construction in these markets.

Guanajuato added more than 200,000 m² of new supply to the region's inventory during 2019. However, its average rent price remained above the regional figure, closing at US\$ 4.11 per m². As of 4Q19, net absorption in this state reached 100 thousand m².

Queretaro, on the other hand, recorded the highest demand for new industrial spaces, just over 127 thousand m², and a 3.0% growth in inventory compared to the same quarter last year. In terms of vacancy, at the end of 4Q19, a rate of 7.4% was recorded (more than 314 thousand m²), paired with an average asking price of US\$ 3.92 per m².

San Luis Potosi increased its construction pace, primarily to provide space to suppliers of the BMW plant. However, since demand has been weaker than expected, net absorption totaled over 15 thousand m² at the end of 4Q19. It is expected that by 2020 the vacancy rate will decrease due to the addition of pre-leased space.